years. In this case, Company Y deserves a significantly higher P/E multiple than Company X despite delivering the same set of financials over the next five years.

So how punchy can the fair value of a 'great' company be? Let us assume that the Coffee Can philosophy has identified a company, ABC, which will deliver the following financial performance:

- Sustain an ROCE of 35 per cent for the next twenty years (from 2017 to 2037),
- Maintain a dividend payout ratio of 30 per cent, i.e. it reinvests the balance 70 per cent earnings in the business and generates 35 per cent ROCE on this incremental capital employed.

Let us also assume that the popular theory of 'mean reversion' applies to its P/E multiple after another twenty years and, hence, in 2037, Company ABC will trade at the market average P/E multiple of twenty times. This is possible if in 2037 there is no visibility of another twenty-year runway for growth.

Now the big question is: At what P/E multiple in 2016 will this company deliver market average returns over the next twenty years? The following points answer this question:

- The BSE Sensex has delivered 11.1 per cent CAGR over the past twenty-five years. So let's assume 11 per cent CAGR to be the likely market return over the next twenty years.
- If the said company's P/E multiple in 2017 is 210 times (yes, you read that right, 210!) then this company will deliver 11 per cent compounded annualized returns over the twenty years assuming a steady decline in its P/E to twenty times by 2037.
- If, more realistically, ABC is available for investment at fifty times the P/E in 2017, then it will deliver 19.5 per cent share price CAGR over the next twenty years even as the company's P/E declines from fifty times in 2017 to twenty times in 2037.